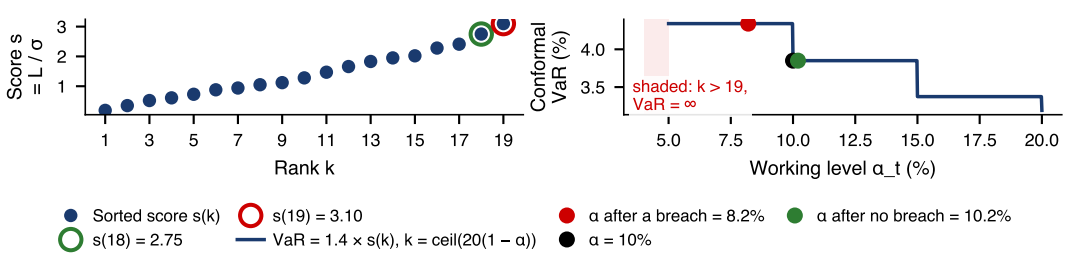
Score s
= L / σ
3
2
1
1
3
5
7
9
11
13
15
17
19
Rank k
Conformal
VaR (%)
4.0
3.5
shaded: k > 19,
VaR = ∞
5.0
7.5
10.0
12.5
15.0
17.5
20.0
Working level α_t (%)
Sorted score s(k)
s(19) = 3.10
α after a breach = 8.2%
α after no breach = 10.2%
s(18) = 2.75
VaR = 1.4 × s(k), k = ceil(20(1 − α))
α = 10%